About this PDF

Built only from: **NOC:Principles of Management (NPTEL course book, weeks 6, 7, 8)** — https://nptel.ac.in/courses/110107150

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Covers 14 of 14 syllabus sub-topics of this unit.

Nature and purpose

Definition

Organizing is arranging and structuring work to accomplish organizational goals.

Explanation

Organizing requires a proper structure, which includes vertical differences (levels) and horizontal differentiation (departmentalization). It involves identifying and classifying required activities, grouping them to attain objectives, and assigning each group to managers with appropriate authority. The arrangement and structuring of work ensures that roles and responsibilities are allocated to individuals based on their competencies.

Example

For instance, a manager in a bank, a manager in a hospitality industry, and a manager in healthcare all perform similar basic competencies such as coordination, initiative, and negotiation, but also have job-specific competencies.

Algorithm / Steps

1. Identify required activities.
2. Classify and group activities to achieve objectives.
3. Define organizational structure with vertical and horizontal differentiation.
4. Assign groups to managers with authority and delegate supervision.
5. Allocate roles and responsibilities based on competencies.

Key points

- Organizing is arranging and structuring work to achieve goals.
- It requires a defined structure with vertical and horizontal differentiation.
- Activities are identified, classified, grouped, and assigned to managers.
- Roles and responsibilities are allocated based on individual competencies.
- The purpose is to coordinate efforts to accomplish organizational objectives.

Formal and informal organization

Definition

Formal organization is an intentional structure of roles, responsibilities, and authority that is designed to ensure that desired activities are completed efficiently. It defines the structure of an organization, the roles to be given to employees, and the behavioral patterns expected of each position. Informal organization is a network of interpersonal relationships that arise when people associate with each other. It is not bound by rules and regulations, is flexible, and its relationships do not appear on the organizational chart.

Explanation

Formal organization works by assigning specific roles, responsibilities, and authority to employees within a deliberately designed structure. This intentional design allows for discretion and creativity within the bounds of rules and regulations, enabling individuals to exhibit competencies while following the organizational plan. Informal organization operates through interpersonal relationships that develop naturally among employees. These relationships influence performance and collaboration but are not formally documented or regulated, providing flexibility that complements the formal structure.

Key points

- Formal organization is an intentional structure of roles, responsibilities, and authority designed for efficient activity completion.
- Formal organization allows for discretion and creativity within established rules and regulations.
- Informal organization is a network of interpersonal relationships that arise naturally among employees.
- Informal relationships are flexible, not bound by rules, and do not appear on the organizational chart.

Organization chart

Definition

A visual representation of the formal structure of an organization, showing how job tasks are divided and how responsibilities flow.

Explanation

The chart depicts the formal relationships of division of work, the grouping of tasks, and the level of coordination among those in the working relationship. It is part of organizational design, which involves decisions about work specialization, departmentalization, chain of command, span of control, centralization, decentralization, and formalization.

Key points

- Shows formal division of tasks and responsibilities.
- Illustrates levels of coordination and formal relationships.

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- Reflects design choices such as specialization, departmentalization, and chain of command.
- Serves as a visual tool for understanding organizational structure.

Organization structure

Definition

Organizing is arranging and structuring work to accomplish organizational goals, requiring a proper arrangement of work and a defined structure.

Explanation

Organizing involves defining a structure with vertical differences (levels) and horizontal differentiation (departmentalization). It allocates roles and responsibilities to individuals based on their competencies, ensuring tasks are carried out efficiently. The structure is intentional, specifying expected behavioral patterns for each role. Formal organization refers to this intentional structure, while informal organization consists of interpersonal relationships that are not bound by formal rules. The chain of command establishes authority relationships, an unbroken line of authority from top to bottom, and unity of command ensures each subordinate reports to only one supervisor.

Example

A manager in a bank may be responsible for the ATM division, the core banking division, or international relations, illustrating how tasks are classified and assigned within the organizational structure.

Key points

- Organizing arranges and structures work to achieve goals.
- Structure includes vertical levels and horizontal departmentalization.
- Roles are allocated based on competency and expected behaviors.
- Formal organization defines intentional roles; informal organization is based on interpersonal networks.
- Chain of command comprises authority, an unbroken line of authority, and unity of command.

Line and staff authority

Key points

- Chain of command is the reporting relationship within an organization, an unbroken line of authority from top to bottom.
- Authority is the right bestowed on a managerial position to give orders and expect them to be obeyed.
- Unity of command means a subordinate should have only one supervisor to whom he or she is directly responsible.
- The elements of chain of command are authority, chain of command, and unity of command.

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Departmentalization

Definition

Departmentalization is the process of grouping jobs or activities into departments or divisions based on a chosen basis such as function, product, geography, process, or customer.

Explanation

By grouping similar work together, departmentalization establishes a clear chain of command and supervision structure. It creates common mental models, performance measures, and encourages coordination through formal communication. It also aligns jobs with work specialization, making efficient use of employee skills.

Example

In the banking sector, departmentalization by product creates divisions such as International Banking, ATM, Core Banking, and Mutual Funds, each focusing on a specific product line.

Key points

- Departments are formed by grouping jobs based on function, product, geography, process, or customer.
- This grouping establishes a chain of command and supervision structure.
- It promotes common mental models, performance measurement, and formal coordination.
- Examples include product-based divisions in banks and geographic divisions in Indian Railways.

delegation of authority

Definition

Delegation of authority is the process of assigning authority to a manager or group head so that they can perform the activities required to achieve organizational objectives.

Explanation

After a plan is decided and objectives are set, resources are allocated and a person must be empowered to initiate and execute the activities. This empowerment ties the group together horizontally and vertically through authority relationships and ensures a continuous flow of information.

Example

A manager is assigned to a specific group and given the authority to supervise and direct the activities of that group.

Algorithm / Steps

1. Identify the activities that need to be performed.
2. Decide the plan and set the objectives.

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3. Allocate the necessary human and material resources.
4. Delegate authority to the head of each group to carry out the activities.
5. Ensure continuous information flow across horizontal and vertical levels.

Key points

- Authority must be delegated to subordinates to enable activity execution.
- Resources are allocated together with the delegation of authority.
- A continuous flow of information is essential for effective delegation.
- Delegation ties the group horizontally and vertically through authority relationships.
- Each group head or manager receives the necessary authority to supervise their assigned activities.

Centralization and decentralization

Definition

Centralization and decentralization are key elements of organizational design that determine how decision-making authority is distributed within an organization.

Explanation

Centralization concentrates decision-making authority at higher levels, enabling faster decisions but potentially reducing employee motivation and increasing turnover. Decentralization disperses authority to lower levels, encouraging employee participation and knowledge sharing, though it may slow decision processes.

Example

In a democratic management style, power is decentralized; employees participate in decision-making and decisions are made by majority agreement.

Key points

- Centralization is a key element of organizational design.
- Autocratic managers use centralization to make unilateral decisions, which can speed up decision-making but may increase turnover.
- Democratic managers use decentralization, giving employees a role in decision-making, which promotes engagement but can slow decisions.
- The choice between centralization and decentralization depends on the context, such as crisis situations or complex decisions.

Job Design

Job design involves the structuring of tasks and activities within an organization to achieve efficiency and effectiveness.

Definition

Job design is the process of subdividing tasks into separate jobs and grouping activities to achieve efficiency.

Explanation

Work specialization occurs when a person repeatedly works on one activity, improving efficiency and competency. Departmentalization groups activities by function, product, geography, process, or customer. Specialized training and equipment are used to increase productivity.

Example

Marketing, human resources, and operations are examples of departmentalization by function.

Key points

- Job design subdivides tasks into separate jobs.
- Work specialization improves efficiency.
- Departmentalization groups activities by function, product, etc.
- Specialized training and equipment increase productivity.

Human Resource Management

Definition

Human resource management is the process of planning, recruiting, training, managing performance, and compensating employees to meet organizational objectives. It involves developing and implementing policies that address the needs of the workforce and the organization.

Explanation

HRM addresses challenges that arise from political, social, legal, and cultural differences across countries, especially in international operations. Effective HR practices must be tailored to each country, local facility, and the company as a whole, ensuring that the right skills are deployed, knowledge is disseminated, and talent is identified and developed on a global basis. Cultural, economic, and legal factors influence HR policies and procedures, requiring adaptation to local norms and regulations.

Example

Employee compensation refers to all forms of pay or reward that an employee receives in return for his performance or contribution to the organization, such as wages, salaries, incentives, commissions, bonuses, or indirect payments.

Algorithm / Steps

1. Human resource planning
2. Recruitment and selection
3. Orientation
4. Training and development
5. Performance management system
6. Compensation and benefits

Key points

- HRM involves planning, recruiting, training, performance management, and compensation.
- International HRM must adapt to political, social, legal, and cultural differences.
- Cultural, economic, and legal factors shape HR policies and procedures.
- Compensation is a monetary reward linked to employee performance and contribution.

HR Planning, Recruitment, selection

Definition

HR planning, recruitment, and selection are integral parts of the human resource management process that involve determining the organization's staffing needs, attracting suitable candidates, and choosing the most appropriate individuals for the available positions.

Explanation

The staffing function, which includes recruitment and selection, is one of the core management activities. It begins with identifying the required workforce, then attracts candidates through various channels, and finally evaluates and selects the best fit for the organization. In a global context, staffing may involve expatriates, host-country nationals, or third-country nationals, and requires careful screening, cultural sensitivity training, and assessment of adaptability through tools such as overseas assignment inventories. Selection also considers critical traits such as tolerance for ambiguity, openness to experience, adaptability, and technical competence, while guarding against red flags like impulsiveness or impatience. After selection, compensation decisions are made, ensuring equity and compliance with legal and union requirements.

Key points

- Staffing is a core management function that includes recruitment, hiring, training, and evaluation.
- Global staffing involves expatriates, host-country nationals, and third-country nationals, with emphasis on cultural sensitivity and adaptability screening.
- Selection criteria focus on critical traits such as tolerance for ambiguity, openness to experience, adaptability, and technical competence, while avoiding red flags like impulsiveness.
- Compensation decisions follow selection, requiring equity, legal compliance, and alignment with union policies.

Training and Development

Key points

- Training and development is lacking in India, with little emphasis and hesitation.
- In America, training and development is undertaken with hesitation.

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- In Japan, training and development is undertaken with confidence and taken very seriously.
- In China, training and development is undertaken with confidence and taken very seriously.
- Indian companies identify potential employees and invest in training and development as part of accelerated resource development.

Performance Management

Definition

Performance management is the process of establishing performance standards, measuring performance, comparing the measured performance with the set standards, evaluating it, and correcting it as necessary.

Explanation

It is a core part of the controlling function of management, which involves setting standards, measuring performance, comparing, evaluating, and correcting.

Example

In Japanese management, appraisal is based on long-term performance, reflecting the emphasis on lifetime employment and long-term orientation.

Algorithm / Steps

1. Set performance standards.
2. Measure performance.
3. Compare measured performance with the standards.
4. Evaluate performance.
5. Correct performance as needed.

Key points

- Performance management is part of the controlling function.
- It involves setting standards, measuring, comparing, evaluating, and correcting.
- Appraisal can be based on long-term performance.
- Quality control circles are used to maintain quality and performance.

Career planning and management.

Definition

Career planning and management is a process of designing and maintaining an environment conducive for people to work together in groups efficiently accomplish their objectives. It comprises functions such as planning, organizing, directing, staffing, and controlling.

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Explanation

Planning involves objective setting, strategies, forecasting, policies, budgeting, and setting plans. Leadership style influences career success; effective managers improve productivity and morale, reducing turnover. In the planning stage of an organization, objectives and goals are set, mission and vision decided, and tasks allocated.

Example

A consultative manager who involves employees in decision-making can increase loyalty and reduce turnover.

Algorithm / Steps

1. Set objectives and goals.
2. Decide mission and vision.
3. Develop strategies.
4. Forecast.
5. Formulate policies.
6. Prepare budgets.
7. Set plans.
8. Allocate tasks.
9. Decide structure.

Key points

- Career planning and management involves designing an environment conducive for group work.
- Planning includes objective setting, strategies, forecasting, policies, budgeting, and setting plans.
- Leadership style influences career success by improving productivity and morale.
- In organizational planning, objectives, mission, vision, tasks, and structure are determined.

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